# 17

# The Nature of the Indian Economy

## Part 2: Industrial and services sectors

### Industrial sector

#### A glimpse of the past 60 years

**Initial phase**: Before independence, the growth and spread of industries in India was limited. There were very few industries at the time, mostly jute, cotton, cement, iron and steel etc. More than 80% of the population lived in villages. Hence, cottage industries played an important role in generating employment. A large number of people were employed in these small enterprises.

The bar graph shows that the contribution to the GDP of the industrial sector rose from 17% in 1950-51 to 28% in 2009-10. During this 60-year period, the sector's share in employment rose from 11% to 22%. Thus, although industry grew, the growth in production and employment was below expectations.

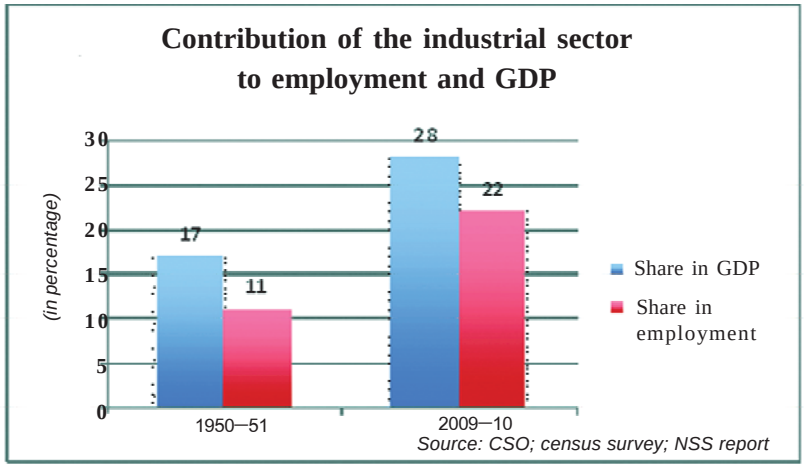



*Figure 17.1: Bar graph showing the contribution of the industrial sector to employment and GDP*

After independence, the government took many steps to promote industrial development. The primary objective was to achieve self-reliance by producing a range of goods to fulfill the country's needs. To encourage the growth of new industries, the government focused on establishing core industries such as electricity,



*Figure 17.2: Core industry – Bhilai Steel Plant*

machinery, metals, minerals etc. Factories require the products of these core industries. New factories were set up at a rapid pace following the establishment of core industries. Production and employment also grew with rapid industrialization.

Setting up core industries is a challenging task because they require large capital investment and long gestation periods. For example, it takes 5-10 years to set-up a power plant to generate electricity. That's why the government stepped in to establish these industries. Among the large industries the government set up in the public sector were iron and steel, power plants and mining and mineral plants. These large enterprises catalyzed the establishment of factories, which, in turn, generated employment and helped to make the country self-reliant in the production of many goods.

### The reforms phase:

The government made many laws to develop industries. For example, it gave small producers the production rights in some sectors such as producing cloth with handlooms. Large industries were not given permission to set up factories to produce these goods. This was done to protect the small producers from competing with the big producers. Also, the small scale sector employed large numbers of people. A licensing system was introduced for large industries, which regulated the quantity of goods they could produce.



*Figure 17.3: Wire factory*

But this industrial policy created many problems over the years. The licensing system became more and more complicated, with the paper work and documentation required to set up an industry taking a lot of time. Only a few influential people could easily procure licenses. The big industrialists benefited while the policy created many hurdles for small entrepreneurs. The big industrialists were able to establish their monopoly in some sectors, with absolutely no competition. This stifled technological progress and limited production.

So while the industrial sector grew rapidly in the first 15 years after independence, with big increases in production and employment, the sector subsequently faced problems that slowed down the growth of industries considerably.

During this slowing down phase, many public sector factories run by the government also started making losses. The government had to provide extra funds every year to keep them running. The hope that these factories would become self-sustaining was never realised. The economy was faced with the growing problem of unemployment and lack of capital for investment.

The industrial policy was changed in the decade of the 1990s and efforts were made to resolve the problems faced by the industrial sector. This policy reform encouraged the establishment of new industries and allowed greater freedom to import and export certain goods. It also encouraged private

companies from other countries to set up factories in India. The licensing system was discontinued. Large industries were now permitted to set-up factories in sectors that were earlier restricted. The government also invited the private sector to take over and run its loss-making factories. Increasing competition in the market forced these factories to improve their operations and increase production.



*Figure 17.4: An automobile factory*

The liberal policies encouraged private and foreign investment in industry as well as the information and communication sector, leading to the establishment of many new factories and enterprises.

### Employment in the industrial sector

High levels of automation in the new factories, however, led to fewer employment opportunities in the industrial sector. For example, production multiplied five-fold in a large steel plant between 1991 and 2005, but the number of workers employed in the plant was reduced by 50%. In 1991, the plant produced 10 lakh tonnes of steel and employed 85,000 workers. In 2005, production increased to 50 lakh tonnes but the number of employees went down to 44,000. Many jobs were given to contractual workers. In this way, employment in the industrial sector did not rise according to expectations even though production increased substantially.

1. **Steel is used to manufacture many goods. Make a list of these goods.**
2. **Why are core or basic industries important?**

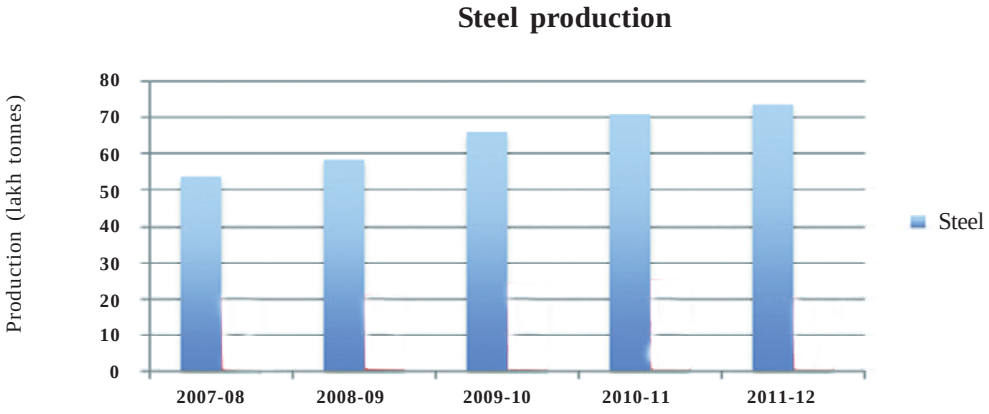
**Project work: Select a factory in your area and write a report on how capital was invested and how technology is being used in the production process.**

### Sub-sectors of industry

We need to look at the sub-sectors of the industrial sector if we are to understand how production and employment can be increased. Industry requires electricity, gas, water supply, mining and manufacturing facilities to produce goods. Manufacturing is a process in which raw materials are physically and chemically transformed into new products. Manufacturing is the most important sub-sector of industry. In 2009-10, manufacturing contributed 16% of the GDP and employed around 5 crore workers.

Manufacturing is widely accepted as the foundation of a balanced economy. It was a prime factor in the growth of developed countries. Historically, all developed countries focused on developing their manufacturing sector. Growth in manufacturing catalyses demand in other sectors. Goods from the manufacturing sector fulfil many of our life needs. So the objective of the manufacturing sector is to find the appropriate technology to mass produce goods and ensure that these goods are available to everyone in the market.

1. **Make a list of manufactured products that you see around you.**
2. **How are these goods produced? Discuss in class.**
3. **How does industrial production impact people and the environment? Discuss in class.**




*Source: Ministry of Steel Annual Report 2012-13*

*Figure 17.5: Bar diagram of steel production*

Basic metals, food processing and textiles are important manufacturing industries in India. Iron and steel is a core industry, with steel production indicating the manufacturing capability of a country. The food processing and textile industries are the biggest employment generators. The textile industry is an example of an important manufacturing industry where India is self-reliant for all its requirements - from raw materials to machinery to finished products.

The employment situation in the food processing industry is given in the following table:

**Table 17.1: Employment in the food processing industry**

| S No | Year | Employment |
|---|---|---|
| 1. | 2007–08 | 15 lakh |
| 2. | 2008–09 | 15.5 lakh |
| 3. | 2009–10 | 16 lakh |
| 4. | 2010–11 | 16.5 lakh |
| 5. | 2011–12 | 17.75 lakh |




*Figure 17.6: Bar diagram of employment in the food processing industry*

*Source: ASI Annual Report 2011-12*

**1. Where are new employment opportunities in industry being created? Discuss in class.**

**2. Can a food processing factory be set up in your area? Discuss in class.**

## Challenges facing the industrial landscape

Producing goods in a factory requires machinery, electricity, various chemicals and other raw materials. During production, some industries discharge harmful chemical wastes that pollute the environment.

Dust, smoke and polluted water discharged from factories increases soil, water and air pollution. This pollution affects crops as well as the health of people, causing various illnesses. Factories should be prohibited from emitting wastes that pollute the environment. Or they should treat the wastes before discharging them. But regulations to control waste discharge either don't exist or are not observed or implemented.



*Figure 17.7: Smoke emitted by a factory*

Another challenge is the outdated technology still being used to produce goods, which makes it difficult to increase production. New technology needs be adopted and research and development in production processes needs to be promoted. The government and private enterprises should make efforts in these areas.

Land is required to construct a factory. The demand to establish more factories is putting pressure on agricultural land and forests. In many regions, people who depend on forests or agriculture for their livelihood are being displaced and forced to relocate in other regions. Rehabilitating all the displaced people is a difficult and complicated process.

Promoting the manufacturing sector to increase the production of goods is the need of today. But it is necessary to maintain a balance between preserving the environment and industrial growth. Also, increasing production requires large amounts of capital. This is why the government is inviting foreign investors. Encouraging the steel, cement, electricity, renewable energy and information technology industries is a leading priority for the government because it leads to all-round economic development.

At present, around 60-70% of the industrial labour force works in the unorganized sector while 30-40% work in the organized sector. Workers in the organized sector receive many benefits and have a sense of security, which is not the case in the unorganized sector. Workers in the unorganized sector are often forced to work for long hours for lower wages. It is a challenge to protect these workers from exploitation and provide them with necessary benefits.

People who work in government offices have fixed hours of work. They get their salary every month. They also get a provident fund as per government rules. They are entitled to medical and other allowances in addition to their salary. They do not work on Sundays and they get paid holidays. They

are given an appointment letter when they take up a job, which clearly states all the terms and conditions related to their employment.

Now consider those people who are daily wage workers in, say, a grocery shop. They go to work at 7.30 in the morning and work till 8.00 at night. They do not get any additional allowances or incentives apart from their wages. They don't get an appointment letter from the employer stating the terms and conditions of their employment. Their employer can terminate them from the job at any time.

The people in the first example work in the organized sector whereas the people in the second example work in the unorganized sector. Enterprises in the organized sector are registered with the government so they have to follow official rules and regulations. That's why the sector is known as the organized sector because it observes official procedures and processes. Employees in the sector get the benefit of job security and their employment conditions are regulated. They are expected to work for a fixed period of time. If they work extra hours, they are paid an overtime by the employer. They also get many other benefits from their employers. These benefits include paid leave, provident fund, medical insurance, other incentives and pension after retirement. In addition, the factory owner has to ensure availability of clean drinking water, safe work environment etc.

The unorganized sector is made up of smaller units, many of which are not registered with the government. There are rules and regulations for the sector but these are not strictly followed. The salaries are usually low and irregular. There is no provision for overtime wages for extra hours of work, paid holidays, leave, medical benefits etc. There is no job security and employees can be dismissed without any specific reason on the whims of the employer. They are also laid off during the off season when there is little work.

A large number of people in the unorganized sector are also self-employed such as hawkers, mechanics and maintenance and repair workers. Similarly, farmers who work in their own fields are also self-employed. All these self-employed people have no access to the social benefits that the organized sector workers get.

1. **Many technical methods to reduce industrial pollution are available but they are usually not implemented. Find out about these methods with your teacher's help.**
2. **Why is there a serious conflict for land to set up factories?**
3. **What are the benefits of promoting the manufacturing industry?**
4. **What measures can we take to ensure the security of employees in the unorganized sector?**

## Service sector

The service sector has gained in importance in recent years compared to earlier times. We need to understand its contribution to the GDP. New technologies have led to an explosion of many new services. One example is the communication sector where mobiles, computers and the internet have made it easier to store, track and exchange information, thereby speeding up communication.

### Service sector and employment

The contribution of the service sector to the GDP rose from 30% in 1950-51 to 57% in 2009-10. During this period, its share in total employment rose from 17% to 25%. The following bar graph traces the growth of the service sector from 1950-51 to 2009-10.

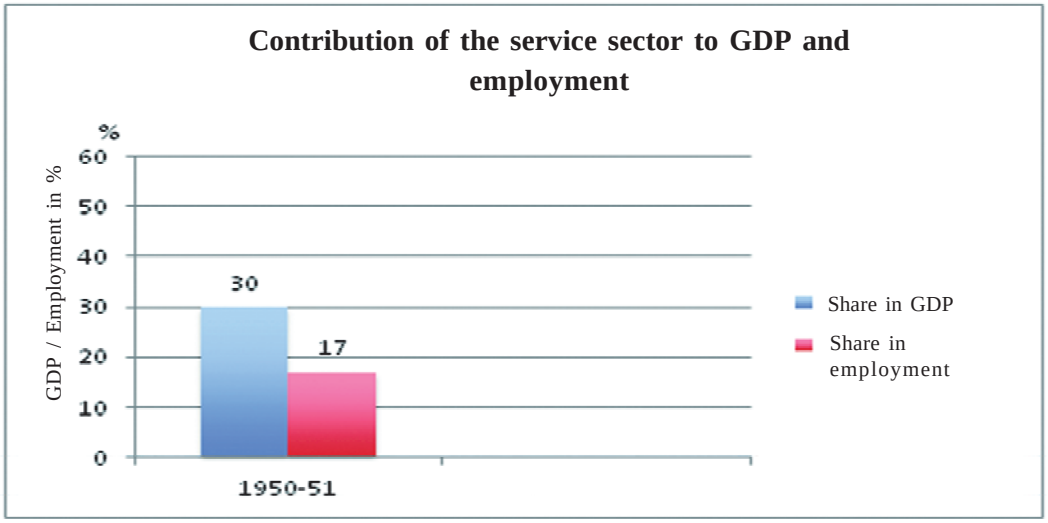



*Figure 17.8: Bar graph showing the contribution of the service sector to GDP and employment*

1. **Make a bar graph similar to Figure 17.8 to show the contribution of the service sector to the GDP and employment in 2009-2010.**
2. **The share of the service sector in employment increased to …… percent in 2009-10, compared to …….. percent in 1950-51.**

## Sub-sectors of the service sector

The growth of employment in the service sector was below expectations even though the share of the sector in the GDP rose substantially. Why was growth in employment not in the same ratio as the share in the GDP? We need to look at the sub sectors of the service sector to understand why employment growth did not match expectations.

The service sector includes many activities that can be divided into three classes.

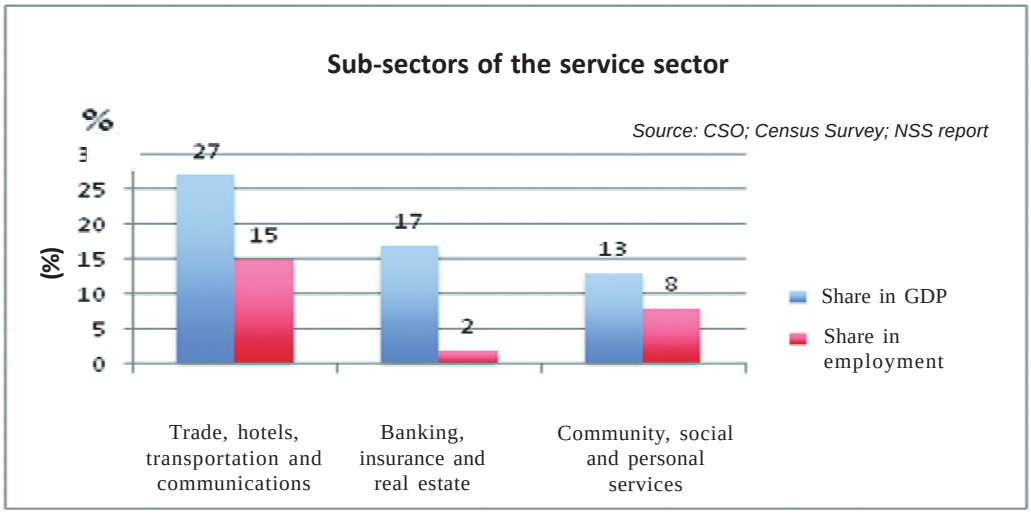



*Figure 17.9: Bar graph depicting the sub-sectors of the service sector*

1. **Trade, hotels and restaurants, transportation, warehousing and communication.**
2. **Banking, insurance and real estate.**
3. **Community, social and personal services.**

### 1. Trade, hotels and restaurants, and transportation, warehousing and communication

The trade, hotels and restaurants, and transportation, storage and communication sub-sectors contribute the most to the GDP and employment. They include the purchase and sale of goods - buying and selling clothes, food-related items, accommodation in hotels etc.

Transportation, warehousing and communication is an important component of this sub-sector. Transportation involves moving goods and people from one place to another by air, rail, road or water. The sub-sector also includes services provided by small lodges, transport services by tempos and autorickshaws, shops selling fruits and vegetables, hawkers and other self-employed people.

Employment is irregular in this sub-sector. Autorickshaw, tempo and tractor drivers ply their vehicles all day but often don't get enough work. Many small services employ workers at low wages. Most people working in this subsector are in the unorganized sector.

Warehousing services are important for both the agricultural and industrial sectors. If storage facilities are not available in rural areas, consumable goods produced by the agricultural sector would decay and rot, leading to economic losses.

Communications is the fastest growing sub-sector. It includes radio, television, internet, mobile, newspapers, magazines etc. Around 75-80% of the population use mobiles and 20% use the internet. For instance, a village shopkeeper manages his business with a mobile phone. He can find the rates of goods available in the city before making his purchases. He, thus, saves both time and money.

**1. Employment is irregular in some services sub-sectors. Explain with examples.**

**Project work: Find out the wages and working conditions of a worker employed in a shop in your neighbourhood. Write a report on your findings.**

### 2. Banking, insurance and real estate

This sub-sector is among the fastest-growing and contributes significantly to the GDP. The services include banks, post offices, non-banking finance companies, life insurance, general insurance (crop, vehicles etc), real estate companies etc. The sub-sector employs highly skilled workers and uses modern technology. That's why it contributes 17% of total production even though its share in employment is only 2%. Though it employs few workers, the market value of their services is very high.

### 3. Community, social and personal services

Public administration, defence, education, health and personal services such as hair-cutting, tailoring, cleaning etc come under this sub-sector. So do government jobs.

**Project work**: Make a list of the community, social and personal services that you find in your neighbourhood.

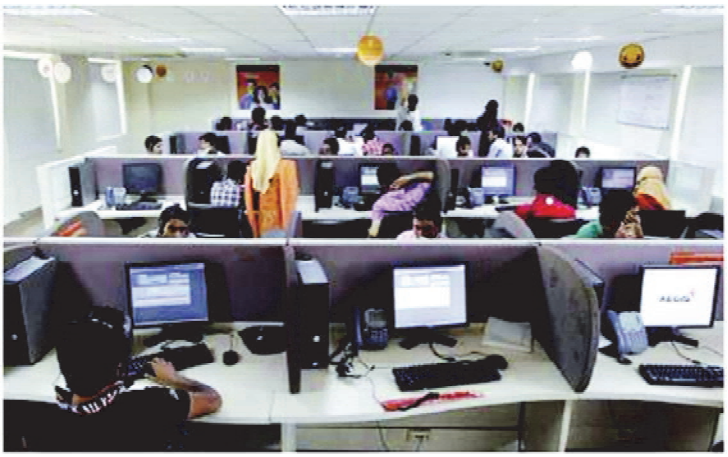


*Figure 17.10: Banking services*

### The changing face of the service sector



*Figure 17.11: Real estate business*

New technological innovations and inventions have changed the face of the services sector. The most striking impact is in banking, insurance and business services. This is why this sector contributes 17% of the GDP even though its share in total employment is only 2%.

Communication technology has also seen tremendous changes since 1990. As a result, many new services, based on technology, have grown rapidly. They include computer-based services, internet cafés, ATMs, call centres, software companies etc. Some decades back, banking services depended mostly on human resources. But information technology has changed all this, making banking services available at the doorstep. Today, one can easily deposit or withdraw money from ATMs, get loans with credit cards, transfer money from one account to another, and so on.

Information technology has opened the way for global services, such as consultation, transmitting information, submitting examination forms etc. The internet, mobile and computer enable us to get any information in any field from anywhere in the world instantly.

BPO services have expanded the boundaries of the service sector. For instance, an employee working in a call centre in India can provide various services to people in the USA via the computer and internet. An American citizen can ring up the call centre and get any information he needs about his bank account, medical records, insurance etc. The call centre employee checks the individual's records on his computer and provides the desired information.

A call centre can be located in India or any other country/region of the world. It need not be located in the US to provide services to American citizens. This service is known as Business Process Outsourcing (BPO). Many companies use the services of BPO agencies to reduce their operating costs and increase their profits.

**BPO services have multiplied employment opportunities in the service sector. Explain**

India earns considerable foreign exchange by exporting large volumes of computer-related technology and software to other countries. This is an important achievement for the country, which gives us the opportunity to import goods that we need.

### Challenges facing the service sector

The service sector faces many challenges. The biggest challenge is the lack of employment opportunities. Today, though the service sector contributes 57% of the GDP, its share in employment is just 25%.

Some sub-sectors in the service sector, such as banking and software, contribute heavily to the GDP but employ very few people. These services require highly skilled employees. At the same time, there are other sub-sectors that employ large numbers of people but contribute little to the GDP. For instance, a large number of people are self-employed in small businesses but their contribution to the GDP is limited. This shows the dual nature of the service sector.

Employment opportunities are limited in the organized sector. According to 2009-10 data, of the total people employed in the services sector, 30% were employed in the organized sector while 70% were in the unorganized sector.

Another challenge faced by the service sector is the practice of sub-contracting. There are many layers of sub-contracting agents who operate in the unorganized sector. So while sub-contracting benefits the employers the workers do not stand to benefit.

Many services are required by the agriculture and manufacturing sectors - for instance, trade and transportation services. If agriculture and manufacturing expand, production will increase and there will be greater demand for trade and transportation services. This will increase employment and the GDP. Hence, every sector depends on other sectors to grow and expand.

**What are the sub-sectors of the service sector?**

**Can you give examples of services that have increased employment opportunities?**

## EXERCISES

**1. Choose the correct option:**

i) The introduction of new technology and machines has …… employment opportunities in the industrial sector

a) increased b) decreased

c) not changed d) none of the above

ii) The …… is a basic/core industry:

a) cotton industry b) paper industry

c) iron industry d) handloom industry

iii) Currently, the biggest contributor to the GDP is the ……

a) agriculture sector b) industry sector

c) service sector d) none of these sectors

iv) The conditions of employment are regulated in the …….

a) organized sector b) unorganized sector

c) both sectors d) none of these sectors

**2. Explain the following terms in brief:**

i) Communication and medium of communication

ii) Banking and insurance

iii) Internet

iv) Increase in production

v) Manufacturing

vi) Warehousing

vii) Food processing

viii) Community services

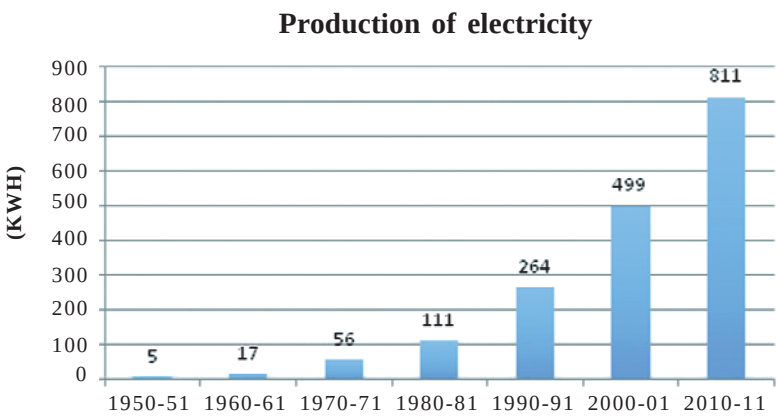
ix) Personal services

x) Global services

xi) Real estate

xii) Information technology

3. After independence, India focused on setting up core industries. What were the reasons for this?
4. Many services are linked to the agriculture and manufacturing sectors. Explain with examples.
5. The service sector has a dual nature in employment generation. Explain with examples.
6. Why was it necessary to change the industrial policy after 1990? Explain.
7. Study the bar graph below and answer the following questions:




*Source: Central Electrical Authorities Report*

i) What changes do you see in electricity production?

ii) How does rising electricity production contribute to the country's economic development?

8. What are the harmful effects of industries on the environment? Explain these effects and suggest ways to prevent them.
9. Does the unorganized sector promote social insecurity among the workers? Interview a worker employed in the unorganized sector to answer this question.
10. Tabulate the data on Steel Production given in the bar graph on page 249.
11. Tabulate the data on the sub-sectors of the service sector given in the bar graph 17.9 and explain your table.

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